

LIVE

Learning Space

NEWSPAPER

7th December, 2017

ITEM WISE EDITORIALS

49th WEEK



MALDIVES, CHINA... INDIA

UPSC CSE – GS II

**GS II... INDIA AND ITS NEIGHBORHOOD-
RELATIONS**



Learning Space

LIVE



NEWSPAPER EDITORIALS ... DISCUSSION

7th DECEMBER, 2017

3

Island hopping

The Maldives' FTA with China signals a drift in Delhi-Male ties

The announcement of a free trade agreement between the Maldives and China is another sign of Beijing's success in its outreach to South Asia. At the same time, it also poses serious challenges for the Indian Ocean, including naval exercises and port projects, and for the enhancement of regional connectivity through the Belt and Road Initiative. China seems to be ready to ramp up business ties across South Asia. China already has an FTA with Pakistan, and is exploring negotiating FTAs with Bangladesh, Sri Lanka and Nepal. The negotiations with the Maldives took about three years and were completed in September this year. It was ratified last night by Parliament in Male. The agreement is expected to be signed this week, during President Abdulla Yameen's first state visit to China, while New Delhi has made no public statement. It has reportedly made its displeasure known, particularly on the speed and smoothness with which the negotiations were completed. However, apart from the actual FTA, the rapid growth in bilateral ties has not been hidden from anyone. This is driven by massive infrastructure projects, including the development of Hulule Island and the "Friendship" bridge connecting it to Male. Apart from investments of \$1 billion, Chinese companies are exploring tourism prospects in the Maldives, leases on resort islands, and reclamation projects.

While this can be seen as a natural outcome of the Maldives' development plans, there are reasons for India to worry. The Maldivian government also said this week that it is not satisfied with the working of the FTA with India. That statement, made by the Fisheries Minister at a press conference in Colombo, is likely to be discussed in detail between New Delhi and Male. Second, the manner in which the FTA was rushed through Parliament in a matter of minutes in mid-2016, with opposition members complaining they had not received enough notice, suggests a haste that could naturally worry India. The haste also shows that the Maldivian government is not inclined to pay much heed to international concerns. In fact, the reason for Mr. Yameen keeping silence on the impact of the FTA talks may be New Delhi's new policy of engaging with the Maldivian opposition, especially former President Mohamed Nasheed. The biggest worry for India is that the FTA will draw the Maldives more closely into China's security net. Although Mr. Yameen has categorically stated that the Maldives will remain a "non-aligned zone", there are concerns that the PLA Navy might be looking for a military base in the islands linked to projects in Djibouti, Sweden and Djibouti. The docking of three Chinese naval warships in Male harbour in August, the first such "port-of-call" visit, was significant in this respect. China's growing presence in the Indian Ocean poses a challenge to India as it looks to define its place in the US-led "Indo-Pacific" realignment.

THE HINDU
INDIA'S NATIONAL NEWSPAPER SINCE 1878

Date : 7th December, 2017

3 Island hopping

The Maldives' FTA with China signals a drift in Delhi-Male ties

The announcement of a free trade agreement between the Maldives and China is another sign of Beijing's success in its outreach in South Asia. After its push for maritime linkages across the Indian Ocean, including naval exercises and port projects, and for the enhancement of regional connectivity through the Belt and Road Initiative, China seems to be ready to ramp up business ties across South Asia. China already has an FTA with Pakistan, and is exploring or negotiating FTAs with Bangladesh, Sri Lanka and Nepal. The negotiations with the Maldives took about three years and were completed in September this year; it was ratified overnight by Parliament in Male. The agreement is expected to be signed this week, during President Abdulla Yameen's first state visit to China. While New Delhi has made no public statement, it has reportedly made its displeasure known, particularly on the speed and stealth with which the negotiations were completed. However, apart from the actual FTA, the rapid growth in China-Maldives ties has not been hidden from anyone. This is driven by massive infrastructure projects, including the development of Hulhule island and the "Friendship" bridge connecting it to Male. Apart from investments of \$1 billion, Chinese companies are exploring tourism prospects in the Maldives, leases to resort islands, and reclamation projects.

...Contd.

3 Island hopping

While this can be seen as a natural outcome of the Maldives' development plans, there are reasons for India to worry. The Yameen government also said this week that it is not satisfied with the working of the FTA with India. That statement, made by the Fisheries Minister at a press conference in Colombo, is likely to be discussed in detail between New Delhi and Male. Second, the manner in which the FTA was rushed through Parliament in a matter of minutes at midnight, with opposition members complaining they had not received enough notice, suggests a haste that would naturally worry India. The move also shows that the Yameen government is not inclined to pay much heed to international concerns over internal unrest. One reason for Mr. Yameen keeping India out of the loop on the FTA talks may be New Delhi's new policy of engaging with the Maldivian opposition, especially former President Mohammad Nasheed. The biggest worry for India is that the FTA will draw the Maldives more closely into China's security net. Although Mr. Yameen has categorically stated that the Maldives will remain a "demilitarised zone", there are concerns that the PLA-Navy might be looking for a military base in the islands linked to projects in Djibouti, Gwadar and Hambantota. The docking of three Chinese naval warships in Male harbour in August, the first such "goodwill visit", was significant in this respect. China's growing presence in the Indian Ocean presents a challenge to India as it looks to define its place in the U.S.-led "Indo-Pacific" realignment.



NEWS REPORT

Maldives and China entered into a Free Trade Agreement.

Free Trade Agreements involve cooperation between at least two countries to reduce trade barriers – import quotas and tariffs – and to increase trade of goods and services with each other.

SALIENT POINTS

- Already trade balance is in favour of China.
- There is a fear that FTA will further increase the deficit.
- The country is under the growing shadow of China's economic and military presence in the Indian Ocean Region.
- The country is predominantly of Sunni Islam.
- Observers feel that Maldives may fall into the debt trap of China.



Abdulla Yameen
President



Mohamed Nasheed
Former President

Internal unrest is of international concern.



CHINA, MALDIVES AND SOUTH ASIA

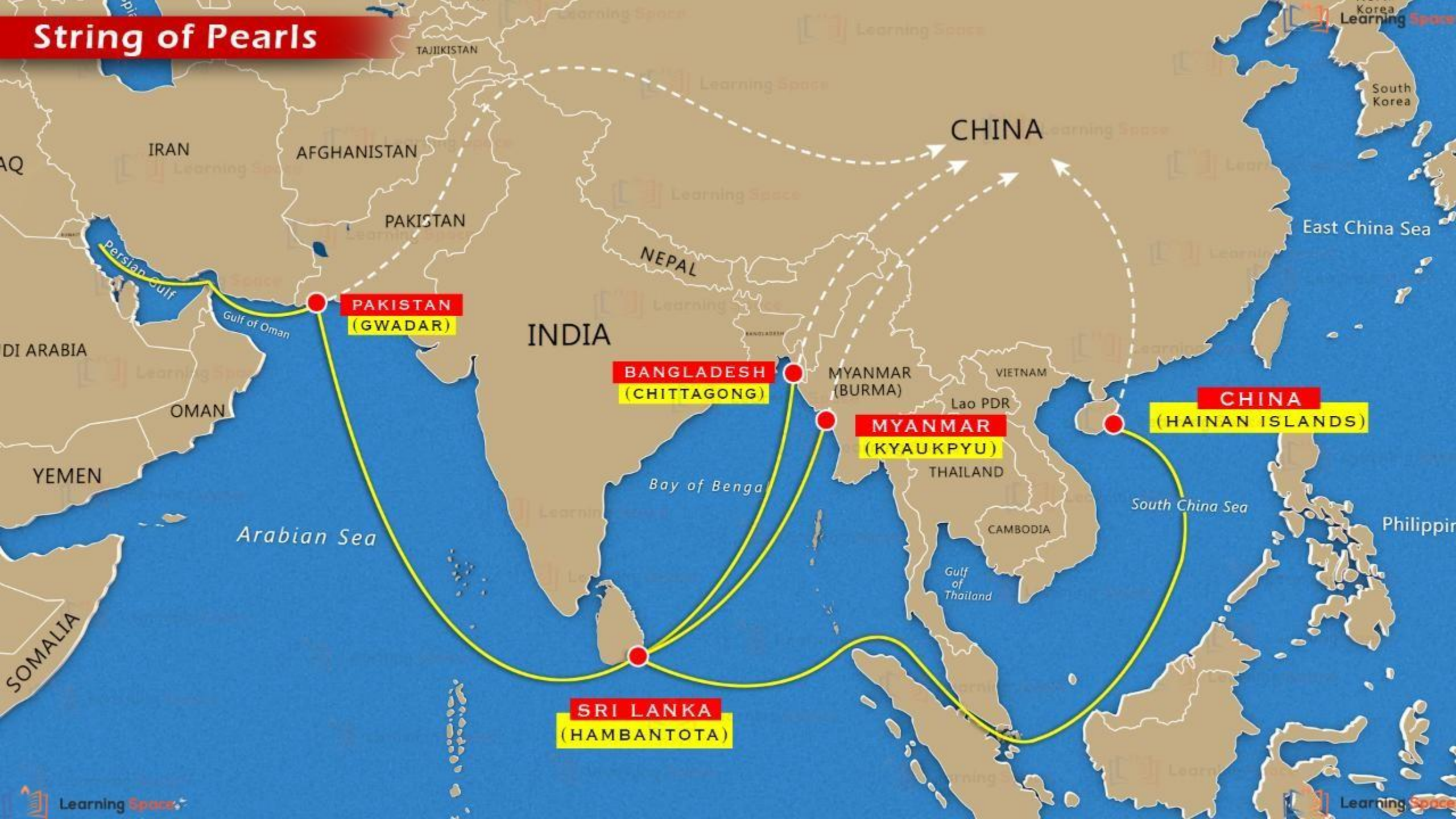


- 1 Free Trade Agreement was announced between China and Maldives.
- 2 China already had FTA with Pakistan.
- 3 It is negotiating FTAs with Nepal, Bangladesh and Sri Lanka.
- 4 The FTA with Maldives is expected to be signed this week, when President Abdulla Yameen visits China for the 1st time.

- 6 Massive infrastructure projects are going on in Maldives. They include development of Hulhule island and the “Friendship Bridge” connecting to Male.
- 7 Chinese companies are also exploring tourism prospects in Maldives, leases to resort islands, and reclamation projects.

China is also constructing Hambantota Port, perusing rail connectivity to Nepal, massive development projects to Bangladesh. CPEC in Pakistan is well-known.

String of Pearls





DOWNTURN IN INDIA MALDIVES TIES



ABDULLA YAMEEN
PRESIDENT, MALDIVES

- 1** The Government of Maldives is not satisfied as New Delhi is engaging with the Maldivian Opposition.
- 2** Recently Yameen Government stated that they are not satisfied with the working of FTA with India.
- 3** There is internal unrest in the Country and probably the Maldives Government does not want India to look at that unrest.



CHINA AND MILITARY BASES IN INDIAN OCEAN REGION ... THE BIGGEST WORRY



- 1 China established its 1st military base at Djibouti. Next in line can be Gwadar, Hambantota, then Maldives.
- 2 Recently, 3 Chinese Naval Warships came to Male harbour as 1st goodwill visit.

China's growing presence in the Indian Ocean Region presents a challenge for India.



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao

Amrita Naidu
D. Sunil Kumar
L. V. Krishna
D. Chaitanya

K. Srikanth
G. Ravi Babu
D. Joji
K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 - 2 4 4 4 7 2
0 9 8 4 9 9 4 2 2 9 9